17.5 per cent. A reduced rate of 5 per cent is applied to some products, including children's car seats, sanitary products, and domestic gas and electricity.

A huge variety of items are rated zero, including basic foods; books, newspapers, and magazines; children's clothing and shoes; energy-saving measures installed in homes; and public transport fares.

Within VAT regulations, there are a few quirks. Cold take-away food is zero-rated, for example, but any take-away food that is sold hot and eaten while hot, such as pies, toasted sandwiches, pizza, and soup, is rated at the standard 20 per cent. Potato crisps are standard-rated, but maize and corn snacks, such as tortilla chips, are zero-rated. In a famous court ruling in 1991, McVitie's Jaffa Cakes were deemed to be cakes, which are zero-rated for VAT, rather than chocolate-covered biscuits, which are taxed at the standard rate.

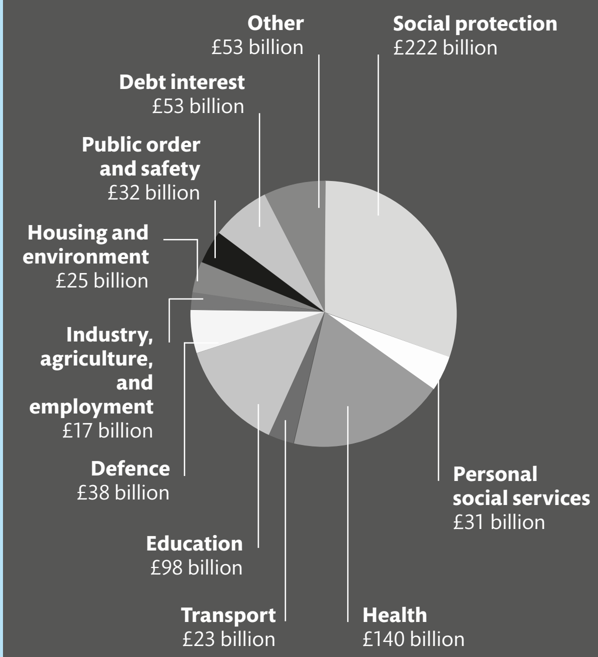
Other indirect taxes

A raft of other indirect taxes contribute to revenues, such as fuel duty, duties on tobacco and alcohol, stamp duty and land tax, capital gains tax, inheritance tax, customs duty, landfill tax, betting and gambling tax, and insurance premium tax (IPT), which is applied to purchases of insurance policies and increased from 6 per cent to 10 per cent in 2017.

Additional smaller taxes have been introduced since 2010, in part to compensate for reduced revenue from corporation tax, as the rate is set to fall from a previous rate of 20 per cent to 17 per cent by 2020–2021. In 2011, a new bank levy came into effect, penalizing large banks for excessive liabilities on their balance sheets. A surcharge on bank profits was introduced in 2016, meaning that banks pay an additional 8 per cent on top of corporation tax on their profits, and are now a larger source of revenue than before. Other new taxes have social aims as well as generating revenue. For example, a soft drinks levy will not only generate revenue but also tackle the health risks associated with high sugar intake.

GOVERNMENT SPENDING

How revenue is spent



Revenue received by the UK government through indirect tax and direct tax is used to fund public spending. The major share of government revenue goes to meeting social security obligations, including the state pension, public sector pensions, housing benefits, and unemployment. The next largest spend is on public health, followed by education.